

yet there is one method by which it may be done. I refer to the method of taking advantage of the long swings, extending over periods of from one to four years, which is possible by a systematic study of fundamental conditions.

As to what the stock market is to do today or tomorrow, or even next week, or possibly next month, no one knows, and only those fully acquainted with the market's technical conditions can make an intelligent guess. Outside of about half a dozen interests in Wall Street, all the rest of those who play the short swing game are simply tools. These six are well known to all and obtain their power simply through their intimate connections with the press, the corporations and the brokers. Moreover, although these men may have their places taken by others, yet their number will never be much greater; for, as the circle extends, they begin to endeavor to beat one another, which keeps the number down. So one cannot reasonably expect to be one of these.

BE A BIG MAN

There is, however, another and much larger circle of men who represent Wall Street in the popular mind and are continually making and retaining great fortunes. These men, however, are not traders and speculators, as are the first mentioned six, although the public does not recognize the difference. The operations of these bigger men are based wholly on fundamental conditions and long swings. When stocks are cheap and they consider that fundamental conditions are becoming sounder each week, they begin and continue to accumulate so long as fundamental conditions continue to improve. This period usually lasts for about eighteen months, although they may do eighty per cent of their buying during the first few months of the period, when the press, the banks and the corporation officials all seem pessimistic and the public is selling.